



Next Generation of Policy Frameworks and Modeling

WEEK 2 · JUNE 15-19, 2026

DSGE Models for

Monetary and Fiscal Policy

Overview

Structural models for monetary and fiscal policy.



OVERVIEW

Why DSGE models?

Two main families of policy models — each built for different questions, used together in modern central banks.

QPM

Built for the regular round

- Carries the regular forecasting cycle
- Drives Case A, Case B, and the Market Reference Scenario
- Calibrated to the country, well-understood by the team
- Fast to run, easy to communicate to the Board
- Strong at near-term inflation and output dynamics

DSGE

Built for structural questions

- Built from optimizing households, firms, and governments
- Strong at long-run, fiscal, multi-country, and welfare questions
- GIMF runs full IMF scenarios — multi-region, fiscal-monetary
- More demanding to calibrate, slower to run
- The right tool when the question requires structural depth



OVERVIEW

Where DSGE models are at their strongest

Four kinds of questions where DSGE is the natural tool — and where the QPM alone won't go far enough

Long-run questions

What happens in twenty years if we keep this fiscal stance? Is the debt path sustainable? The QPM was not built to answer this — OLG and GIMF are.

Cross-border questions

What if global growth slows? What if the US tightens harder than markets expect? GIMF tracks how shocks travel between regions.

Heterogeneity questions

Who actually pays for higher debt — today's taxpayers or our children? Who benefits from a transfer? OLG separates households by age and credit access.

Foundation questions

Why does monetary policy work the way the QPM says it does? When the Board asks 'what is actually going on?' — the NK DSGE shows the chain of logic.



OVERVIEW

Key papers and readings

Five references that anchor the week

MONETARY	Adrian, Laxton, Obstfeld	Modern Monetary Policy. The framing for the entire course — how DSGE supports inflation targeting in practice.
FISCAL/OLG	Faruquee & Laxton (2000)	Life-Cycles, Dynasties, Saving: Implications for Closed and Small, Open Economies. IMF WP 00/126.
GIMF	Kumhof, Laxton, Muir, Mursula (2010)	The Global Integrated Monetary and Fiscal Model (GIMF) — Theoretical Structure. IMF WP 10/34.
GIMF	Anderson, Hunt et al. (2013)	Getting to Know GIMF: The Simulation Properties of the Global Integrated Monetary and Fiscal Model. IMF WP 13/55.
FRAMEWORK	Laxton, Avetisyan, Avagyan (2026)	Prudent Risk Management Approach to Monetary Policy: Theory and Practice of FPAS Mark II at the Central Bank of Armenia.



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